

TotalEnergies Marketing Kenya PLC

SUMMARY OF UN-AUDITED FINANCIAL STATEMENTS FOR THE PERIOD ENDED 30 JUNE 2024

STATEMENT OF FINANCIAL POSITION

AS AT	30 June 2024 Kshs'000	31 Dec 2023 Kshs'000
ASSETS		
Non-current assets		
Property, plant and equipment and intangible assets	12,515,606	12,500,373
Right-of-use of assets	1,204,136	1,305,390
Government securities held at FVOCI	7,828,856	7,743,929
Goodwill	416,679	416,679
Deferred tax asset	612,209	612,209
Total non-current assets	22,577,538	22,578,580
Current assets		
Inventories	12,523,687	13,057,279
Trade and other receivables	28,527,520	31,801,391
Cash and bank balances	2,728,193	7,878,221
Total current assets	43,779,400	52,736,892
TOTAL ASSETS	66,356,886	75,315,472
EQUITY AND LIABILITIES		
Equity		
Share capital	9,974,771	9,974,771
Share premium	1,967,520	1,967,520
Fair value reserve	-118,722	-203,649
Retained earnings	20,216,168	20,486,381
Total equity	32,039,737	32,225,023
Non-current liabilities		
Lease Liability	646,663	700,729
Trade and other payables and provisions	1,183,611	1,103,090
Total non-current liabilities	1,830,274	1,803,819
Current liabilities		
Trade and other payables	32,405,680	35,587,801
Lease Liability	81,195	105,807
Bank overdrafts	0	5,593,022
Total current liabilities	32,486,875	41,286,630
TOTAL EQUITY AND LIABILITIES	66,356,886	75,315,472

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

FOR THE YEAR ENDED	30 June 2024 KShs'000	30 June 2023 KShs'000
Revenue from contracts with customers	79,212,242	74,648,907
Indirect taxes and duties	(17,547,866)	(17,955,716)
Net revenue from contracts with customers	61,664,376	56,693,191
Cost of sales	(56,918,618)	(51,690,433)
Gross profit	4,745,758	5,002,758
Other income	1,230,307	894,657
Operating expenses	(3,870,676)	(3,767,482)
Net finance loss	(1,524,254)	(396,464)
Net foreign exchange gain/(loss)	674,211	(467,973)
Profit before tax	1,255,346	1,265,496
Tax charge	(316,838)	(442,924)
Profit for the year	938,508	822,572
Other comprehensive income, net of tax	84,927	-
Total comprehensive income for the year	1,023,435	822,572
Earnings per share (basic and diluted) (Kshs)	1.63	1.31

STATEMENT OF CHANGES IN EQUITY

	Share capital KShs'000	Share premium KShs'000	Retained earnings KShs'000	Fair value reserves KShs'000	Total equity KShs'000
FOR THE PERIOD ENDED 30 JUNE 2024					
As at 1 January 2023	9,974,771	1,967,520	18,288,158	-	30,230,449
Dividends declared - 2022	-	-	(824,701)		(824,701)
Profit for the year	-	-	3,022,924		3,022,924
Other comprehensive income	-	-	-	(203,649)	(203,649)
Total comprehensive income	-	-	3,022,924	(203,649)	2,819,275
As at 31 December 2023	9,974,771	1,967,520	20,486,381	(203,649)	32,225,023
As at 1 January 2024	9,974,771	1,967,520	20,486,381	(203,649)	32,225,023
Dividends declared - 2023	-	-	(1,208,721)		(1,208,721)
Profit for the year	-	-	938,508		938,508
Other comprehensive income	-	-	-	84,927	84,927
Total comprehensive income	-	-	938,508	84,927	1,023,435
As at 30 June 2024	9,974,771	1,967,520	20,216,168	(118,722)	32,039,737

STATEMENT OF CASHFLOWS

FOR THE PERIOD ENDED	June 2024 KShs'000	June 2023 KShs'000
CASH FLOWS FROM OPERATING ACTIVITIES		
Cash generated from operations	4,159,405	1,116,110
Tax paid	(1,012,757)	(796,250)
Net cash generated from operating activities	3,146,648	319,860
CASH FLOWS FROM INVESTING ACTIVITIES		
Purchase of property, plant and equipment, right of use and intangible assets	(1,101,616)	(923,736)
Proceeds on disposal of property, plant and equipment	7,657	1,720
Interest income received on bank deposits	90,830	524,800
Net cash used in investing activities	(1,003,129)	(397,216)
CASH FLOWS FROM FINANCING ACTIVITIES		
Interest payments on borrowings	(1,615,084)	(885,392)
Lease liability payments	(85,441)	(113,028)
Net cash used in financing activities	(1,700,525)	(998,420)
Net increase/(decrease) in cash and cash equivalents	442,994	(1,075,776)
Cash and cash equivalent as at 1 January	2,285,199	5,026,127
Cash and cash equivalent as at 30 June	2,728,193	3,950,351

The Board of Directors of TotalEnergies Marketing Kenya PLC is pleased to announce the unaudited half-year results for 2024.

OPERATING ENVIRONMENT

During the period, the business environment remained challenging due to the volatile macro-economic conditions. The international oil and gas prices remained buoyant with escalation at the start of the period due to global supply and demand dynamics, geopolitical situations and market speculations.

The Kenya shilling appreciated vastly against the US dollar with a consistent reduction in inflation rates and fuel prices in the country.

FINANCIAL PERFORMANCE

The Company's performance remained resilient with profit before tax of KShs 1,255 million (2023: KShs 1,265 million)

The Company's gross profit was at KShs 4,746 million (2023: KShs 5,003 million) majorly impacted by social-economic dynamics. This notwithstanding, other income increased to KShs 1,230 million (2023: KShs 895 million) majorly due to; investing activities, increased revenues from diversified investments in Shops, Food and Services (SFS) and income from partnerships with third parties in the period.

The increase in operating expenses is majorly attributable to inflation impact on local costs. The increase in net finance costs to KShs 1,524 million (2023: KShs 396 million) is as a result of increased cost of borrowing coupled with increased working capital requirement.

The foreign exchange gains of KShs 674 million (2023: loss KShs 468 million) were attributed to appreciation of the Kenya Shilling against the US dollar in the current period.

The Company's cashflow position remained strong given the effective management of working capital. Gross investments worth KShs 1,102 million were made during the period in line with the strategy to enhance its network, logistics and continue to build a profitable and sustainable multi-energy Company.

DIVIDEND

The Board of Directors does not recommend payment of an interim dividend.

FUTURE OUTLOOK

The business environment remains challenging and volatile. The priority focus for the Company will continue to be on safety, operational excellence, profitable growth and positive cashflow generation.

Despite this particularly challenging context, the Board is confident that the mitigating measures and action plans adapted by Management will yield positive results in the remaining part of the year.


By order of the Board
Eric FANCHINI
Managing Director
August 21, 2024

